II

At the FICCI-IBA Annual Banking Conference on 16 August 2016, I went over some of the reforms we had introduced. As we will see, bankers had become focused on cleaning up the bad debt on their books. While this was important, I urged the banking sector to look ahead, beyond the problems of bad debts, to focusing on growth. I addressed, once again, the challenges faced by Public Sector Banks, and what they needed to do.

Interesting, Profitable, and Challenging: Banking in India Today

These are interesting, profitable, and challenging times for the financial sector. Interesting because the level of competition is going to increase manifold, both for customers as well as for talent, transforming even the sleepiest areas in financial services. Profitable because new technologies, information, and new techniques will open up vastly new business opportunities and customers. Challenging because competition and novelty constitute a particularly volatile mix in terms of risk. In this talk, I will speak about how we see these aspects at the central bank.

INTERESTING AND PROFITABLE

Over the next year, seventeen new niche banks will begin business. In addition, licensing for universal banks is now on tap, so fit and proper applicants with innovative business plans and good track records will enter. Fintech will throw up a variety of new ways of accessing the customer and serving her, so new institutions that we have little awareness of today will soon be a source of competition. These will finally draw customer sectors, firms, and individuals without access